

Instructor Answer Key – Introductory Labour Economics

1. Common Wage Factors Students Identify:

- Education and skills
- Work experience
- Occupation and industry
- Union membership
- Gender and discrimination
- Location and cost of living

2. Common Labour Market Problems:

- Low or stagnant wages
- Job insecurity and temporary work
- Unemployment and underemployment
- Wage inequality across groups
- Labour shortages in health care, construction, and trades

3. Sample Problems, Policies, and Trade-offs:

Example: Low wages for low-skilled workers

Policy options:

- Increase minimum wage
- Expand training and education programs
- Strengthen collective bargaining

Trade-offs:

- Higher labour costs for firms
- Possible reduction in hiring or hours
- Higher prices for consumers

Example: Labour shortages

Policy options:

- Increase immigration
- Improve working conditions and wages
- Invest in skills training

Trade-offs:

- Immigration may strain housing and services
- Higher wages increase costs for employers

Instructor Note:

The goal is not correctness but intuition. Emphasize trade-offs, incentives, and how labour economics studies wages, employment, and inequality using data.